

CHAPTER 7

DIRECTING

Leading according to Kooth and Weihrich, is the process of influencing people so that they will contribute to organization and group goals. It is influencing people so that they will work willingly and enthusiastically toward the achievement of organizational goals ultimate objectives. When we say influencing, it does not mean that coercing/forcing, imposing, suctioning or pushing people behind. It means rather-motivating people so that they contribute their maximum effort for the achievement of organizational goal. Leading/Directing is that part of management function which actuates the organization members to work efficiently and effectively for the attainment of organizational objectives. Planning, organizing, and staffing are merely preparations for doing the work, and the work actually starts when managers start performing the directing function. Directing is the interpersonal aspect of management, which deals directly with influencing, guiding, supervising, and motivating the subordinates for the accomplishment of the per determined objectives.

Directing is a challenging function of management, because it deals with the human element of the organization, which represents a complex of forces about whom not much is known. A person's beliefs, hopes, ambitions, behavior, satisfaction, and interaction with other persons are all involved in the directing process.

Elements of Directing Leading

There are three elements of directing that helps managers to influence people to contribute willingly for the achievement of organizational goal. These are:

- (a) Motivation
- (b) Leadership

(c) Communication

A) MOTIVATION

- Motivation refers to the forces to a person that arouse enthusiasm and persistence to pursue a certain course of action. It means stimulating people to action through incentives or inducements. The study of motivation helps managers understand what prompts people to initiate action, what influences their choice of action, and why they persist in that action over time.
- People have basic needs such as for food, achievements or monetary gain that translate into an internal tension that motivates specific behaviors with which to fulfill the need. To the extent that the behavior is successful, the person is rewarded in the sense that the need is satisfied. The reward also informs the person that the behavior was appropriate and can be used again in the future.

Motivation means a process of stimulating people to action to accomplish desired goals. Motivation is very essential in any kind of an organization, because without proper motivation no work can be done completely.

In motivation, needs produce motives, which leads to the accomplishment of goals and these needs are caused because of deficiencies, either physical or psychological. Physical needs may be the need for food, shelter, clothing, etc, and psychological needs could be a feeling of security, acceptance by the society, love and respect of friends, etc.

A person who is motivated will work harder, is more effective in his work, has initiative and is more innovative than a person who is not motivated.

Importance of Motivation.

- 1) High performance levels. A person who is motivated, always has a very high level of performance which benefits the organization directly.
- 2) Low employee turnover and absenteeism. Employees who are highly motivated always try not to escape from their duty and attend to the work every day without absenting themselves for silly reasons. Also workers who are motivated will not resign from the organization easily thus leading to low employee turnover.
- 3) Minimum wastage. Highly motivated workers consider the organizations resources as their own resources hence they try to minimize the wastage of these resources and try to use them in an optimum way.
- 4) Acceptance of change. Motivated workers are basically innovative, creative, hard working, etc, hence, they will not be afraid of change. They will accept change and try their best to get an advantage out of that change.

Rewards are two types

- a. Intrinsic reward - the satisfaction a person receives in the process of performing a particular action. The completion of a complex task may give a pleasant feeling of accomplishment, or solving a problem that benefits others may fulfill a personal mission.
- b. Extrinsic rewards - given by another person, typically the manager, and include promotion and pay increases.

Theories of Motivation

1) Maslow's Hierarchy of Need's Theory.

a) Physical Needs. These needs are basically the needs of the human body that must be satisfied in order to support life. These needs include food, shelter, sleep, water, exercise, clothing, etc. Fulfillment of these needs will dominate when they are not satisfied and no other type of need will serve as a basis of motivation. Only when this need is satisfied that a man looks to satisfy the next level of needs, that is safety needs.

b) Safety needs. When the physical needs are relatively satisfied, the need for safety arises in a human being. By safety needs we mean the need for protection from physical harm, ill health, danger of all types, threat of losing the job, etc. Safety needs are fulfilled when job security is given, insurance and pension plans are made, promotions are given, etc.

c) Social needs. When the safety needs are satisfied, a man looks for social needs which are the needs for love, affection, acceptance by the society, the need to belong to some group, etc. This need is satisfied by developing meaningful personal relations and by acceptance into groups of individuals. In organizations workers form informal groups which satisfies their social needs to some extent.

d) Esteem needs. Esteem needs include both self-esteem and esteem of others. Esteem means respect. Self-esteem is achieved through a feeling of self-respect, self-confidence, a feeling of personal worth, etc. Esteem of others is gained when other people give a person the respect he deserves because of his position and achievements.

e) Self-Actualization needs. This is the highest order of needs according to Maslow. Self-actualization means that an individual will realize fully all his potentialities, talents and capacities.

Maslow suggests that the various levels are interdependent and overlapping.

Assumptions:

1. Only unmet needs motivate
2. People's needs are arranged in order of importance (hierarchy) going from basic to complex needs
3. People will not be motivated to satisfy a higher-level need unless the lower-level need(s) has been at least minimally satisfied
4. Hierarchical order from low to high level of need
 - *The major recommendation to leaders is to meet employees' lower-level needs so that they will not dominate the employees' motivational process.*
 - *You should get to know and understand people's needs and meet them as a means of increasing performance*

2) Herzberg's Motivation-Hygiene Theory.

Herzberg conducted a study of many employees regarding their experiences and feelings. After this intense study he came to the conclusion that they were two categories of needs, independent of each other and effecting behavior in different ways. He named these two categories as Maintenance or Hygiene factors and the second category as Motivational factors.

Hygiene Factors: - *Maintenance factors are also called extrinsic motivators because motivation comes from outside the person and the job itself.*

Herzberg says that there are 10 hygiene factors, they are, company policy & administration, technical supervision, interpersonal relationship with superiors, interpersonal relations with peers, interpersonal relations with subordinates, salary, job security, personal life, working conditions and status. According to Herzberg the presence of these factors does not motivate the workers in a strong way, but their absence will lead to the dissatisfaction of the workers. These factors do not ensure growth in performance or output of a worker; they only prevent losses in the workers performance due to work restrictions. These factors are also called as dissatisfiers.

- **Motivational factors.** Herzberg has short listed 6 factors under this category, they are, achievement, recognition, advancement, the work itself, possibility of growth and responsibility. These factors when present provide the workers with strong motivation, but in their absence the workers will not be dissatisfied. Hence he calls them as motivational factors. *Motivators are called intrinsic motivators because motivation comes from within the person through the work itself. Intrinsic motivators include achievement, recognition, challenge, and advancement.*
- *These factors are related to meeting higher-level needs, and are better at motivating than extrinsic factors*

3) Theory X and Theory Y of McGregor.

The management action of directing human beings in an organization is based on certain assumptions or generalizations of human behavior or human nature. He classified his assumptions of the human behavior into two opposite ends of a spectrum called Theory X and Theory Y.

Theory X. McGregor listed the assumptions regarding human behavior, of the classical theorists or the traditionalists under this heading. Those assumptions are,

- a) Management is responsible for organizing all the elements of productive enterprise which are, men, material, money and machinery. The worker does not have any say in the functioning of the organization.
- b) In case of the people, it involves directing their efforts, motivating them, controlling their actions and modifying their behavior, to achieve organizational goals.
- c) Without the active involvement of management, subordinates will be passive and even resistant to achieve organizations goals.
- d) The average worker works as little as possible. He should be forced to work.
- e) The average worker lacks ambition, he dislikes responsibility and prefers to be led.
- f) The average worker is self-centered and indifferent to organizations needs.
- g) He resists change.
- i) He is not intelligent and can be easily cheated by others.

McGregor says that a management which has these assumptions about their workers will try to motivate and control them through monetary incentives, strict rules & regulations, close supervision, punishments, etc, which are considered negative in nature.

Theory Y. The assumptions under this category are,

- a) The average worker does not dislike work. Work may be a source of satisfaction or a source of punishment for him.
- b) External control and threat of punishment are not the only tools of control, man has the ability to be self-directed and self-controlled.

c) Commitment to objectives is related directly to the rewards associated with it. If achieving the objective brings some reward to the worker then he will be more motivated if not less motivated.

c) Worker is not afraid of responsibility.

d) A worker has imagination and creativity, which he uses to solve organizational problems.

McGregor says that under this assumption management tends to be more worker friendly and tries to involve them in the decision making process of the organization. This is the modern management view of how to handle workers.

Management process with Theory X & Theory Y.

<u>Function</u>	<u>Theory X</u>	<u>Theory Y</u>
Planning. subordinates set	Superior always sets objectives.	Superior and the objectives.
	Commitment to plan is low.	Commitment to plan is high.
Directing.	Autocratic leadership.	Participative leadership and team work.
	Top down communication.	Two way communication and feedback.
<u>Controlling.</u>	<u>Control is extremely rigid.</u>	<u>Control is more relaxed.</u>

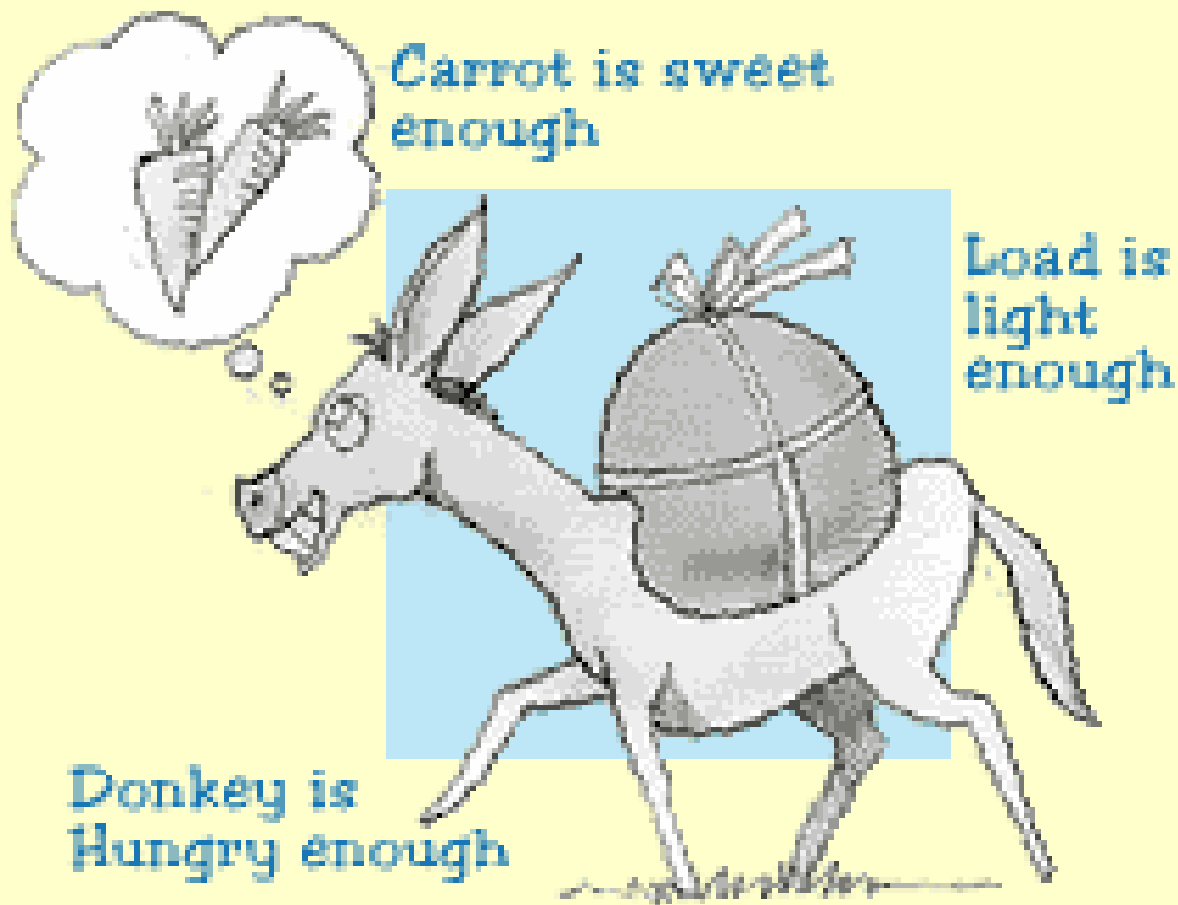
A story of a donkey man: Carrot and Stick Motivation Theory



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Incentive Motivation works when...



Process Motivation Theories

Equity Theory

- *People want to be treated fairly.*
- *Employees have to believe they are being treated fairly if they are to work together effectively*
- *Equity theory proposes that people are motivated when their perceived inputs equal outputs.*
- *Through the equity theory process, people compare their inputs (effort, experience, seniority, status, intelligence, and so forth) and outputs (praise,*

recognition, pay, benefits, promotions, increased status, supervisor's approval, and so forth) to that of relevant others.

- *Equitable distribution of pay is crucial to organizations*

(Proposed that employees are motivated when their perceived inputs equal outputs)

Expectancy Theory

- Expectancy theory is based on Victor Vroom's formula:

Motivation = expectancy × instrumentality × valence

- Expectancy theory proposes that people are motivated when they believe they can accomplish the task, they will get the reward, and the rewards for doing the task are worth the effort.
- Expectancy refers to the person's perception of his or her ability (probability) to accomplish an objective.
- Instrumentality refers to belief that the performance will result in getting the reward
- Valence refers to the value a person places on the outcome or reward

Goal-Setting Theory

- Goal-setting theory proposes that specific, measureable and difficult goals motivate people.
- Our behavior has a purpose, which is usually to fulfill a need.
- Goals give us a sense of purpose as to why we are working to accomplish a given task

B) LEADERSHIP

Leadership is the process of influencing individuals and groups to set and achieve goals. It is an act of influencing and motivating people to perform certain tasks to achieve organizational objectives. Thus, an effective leader is expected to have

adequate knowledge of human behavior, including the ability to persuade and motivate people and communicate with them properly.

- a) "The art or process of influencing people so that they will strive willingly and enthusiastically towards the achievement of group goals."
- b) "Leadership is the ability to secure desirable actions from a group of followers voluntarily without the use of coercion."
- c) "The process of directing & inspiring workers to perform the task related activities of the group." People should be encouraged to develop not only willingness to work, but also willingness to work with zeal and confidence.

In short leadership involves,

- Influencing and interacting with people to attain goals.
- Related to a particular situation at a given point of time and a specific set of circumstances.
- By accepting the willingness, followers will make the leadership process possible.

THEORIES OF LEADERSHIP

1. The Great Man Theory

One of the first theories on leadership makes the assumption that these qualities are inherent, which indicates that leaders are born, not created, and cannot be learned. This viewpoint emphasizes the fact that individuals cannot be educated to be effective leaders. It's a quality that either you have or you don't. These abilities come naturally, thus you cannot learn them or receive training in them.

In addition, the idea holds that these leadership qualities are constant over time and apply to all organizations, regardless of the setting in which these leaders are employed.

2. The trait theory of leadership:-

Traits are inborn and inherent personal qualities of individuals. This theory believes leaders possess certain specific inborn traits, which are inherited rather than acquired. It has a root from "**the great man theory**" dating back to the ancient Greeks & Romans time, holds that leaders are born not made.

The trait theory studies focused on the personal traits of leaders and attempted to identify a set of individual characteristics that distinguished leaders from followers' also successful leaders from unsuccessful ones. In general the trait theory hasn't been a fruitful approach to explain leadership.

2. The behavioral theory of leadership:-

The behavioral theory of leadership focused on what leaders do rather than their traits. Studies showed that one set of traits/leadership style might not be equally appropriate in all situations. This theory suggested that there were two distinct types of leadership which are known as task-oriented /production centered/ and employee oriented /people centered/.

a) The Michigan Studies

After studying numerous industrial situations, the Michigan University research identified two leadership styles which include:

- Employee-centered, and
- Production-centered task oriented.

- Production-centered / Task-oriented leadership style: emphasizes more on the technical aspects of job, work standard, close supervision, considering employees as tools in the production process.
- Employee-oriented / people centered / leadership style: focuses more on treating subordinates as human beings, encouraging them in goal setting, and shows concern for their well being.
- The Michigan research prescribed employee-oriented style of leadership to increase productivity.
- They contended that supervisory controls and production - centered leadership style will be frustrating to the employees; affects their morale leading to unsatisfactory performance on the job.

b) The Ohio State University studies:

- The Ohio State University studies identified two leadership behaviors, which include:
 - i. Initiating structure (IS) refers to the extent to which the leaders' structure and define the activities of subordinates so that organizational goals are accomplished.
 - ii. Consideration on the other hand, refers to the ability of the leader to establish rapport, mutual respect and two-way communication with employees. The leader is friendly, approachable, and listens to the problems of employees and allows them to suggest.
- The Ohio State University researchers hypothesized that the most effective leadership style would be the one that gave high concern for both consideration and structure.
- Thus, a high consideration and high structure style was associated with high performance and employee satisfaction.

- Some studies however, revealed that this style resulted in excessive absenteeism, low employee satisfaction and poor performance.

3. The situational /contingency/ theory of leadership:

According to this theory, leadership is strongly affected by a situation from which a leader emerges and in which he/she works. It's a function of the leader, the followers and the situation.

It attempts to discover that the one unique set of leadership traits were largely unsuccessful. Modern management theorists are more prone to the belief that leadership is more complex; that is it can't be represented by one set of traits or by single set of behavior, thus effective leadership behavior depends on the environment or the situation.

LEADERSHIP STYLES

- Leadership style is the behavior exhibited by a leader during supervision of subordinates.
- There are different leadership styles.

Positive versus Negative Leadership Styles

- Positive leadership styles give emphasis to praise and recognition, monetary rewards, increase in security, and addition of responsibility.
- Negative leadership styles on the other hand emphasize penalties, loss of jobs, suspension, and public reprimands / critics
- The commonly known and/or practiced leadership styles are: Autocratic, Democratic and Free-rein.

Autocratic style - "I" approach,

Is a leadership approach in which a manager does not share decision making authority with subordinates? Autocratic managers may ask for subordinates' ideas & feedback about the decision, but the impute does not usually change the decision unless it indicates that something vital has been overlooked.

Under certain conditions, the autocratic style is appropriate. eg. During crisis & when subordinates are trainees and when there is act of insubordination.

It is also effective when managers face issues that they are best equipped to solve, create solutions, whose implementation does not depend on others & desire to communicate through orders & instructions

This leadership style is closely associated with the classical approach to management and it is characterized by the following behavioral patterns of leaders.

- ❖ The leader doesn't seek any opinions from subordinates, holds conflicts and with less creativity.
- ❖ Exercises rigid control and close supervision, relies on punishments.
- ❖ Subordinates typically react by doing only what's expected and by suppressing their frustration.
- ❖ The autocratic leader is task-oriented, gives little value on showing consideration to subordinates.
- ❖ Depends on one way communication downward only.

Participate (democratic) style - "We" approach

It is a leadership approach in which a manager shares decision making authority with subordinates. It involves others and lets them bring their unique viewpoints, talents & experiences to bear on an issue. Before subordinates are made to participate in the decision making process:

- mutual trust & respect must exist between them & managers

- subordinates must be willing & trained to be competent to solve problems
- Managers should give time & be patient to make subordinates participate.

However, limits on subordinates' participation must be clearly spelled out before hand there should be no misunderstanding about who holds authority to do what. This leadership style is characterized by the following behavioral patterns of the leader.

- ❖ Allows the group members to participate in decision making process, proposed actions and encourages participation at all levels.
- ❖ The leader will develop two way communications and promote team sphere.

Free-rein style -"They" approach

It empowers individuals or groups to function on their own, without direct involvement from the managers to whom they report. The style relies heavily on delegation of authority, and works best when the parties have expert power, when participants have and know how to use the tools & techniques needed for their tasks.

Free-rein leadership works particularly well with managers & experienced professionals in engineering, design, research & sales. Such people generally resist other kinds of supervision. In most organizations managers must be able to use the decision making style that circumstances dictate Because people & circumstance constantly change & because subordinates must be prepared to the change. The effective manager switches from one leadership style to another as appropriate. The following are the behavioral patterns of laissez-faire leader.

- “ Laissez-faire leaders make a few attempts to increase productivity, to develop their attempts or to meet subordinates psychological needs.
- “ Use their power very little, if at all, giving subordinates a high degree of independence in their operation.

- ❖ These leaders maintain hands off policy where each subordinate work is clearly defined.
- ❖ Such leaders depend on subordinates to set their own goals and the means of achieving them, and they see their role as one of aiding the operations of followers by furnishing them information and acting primarily as a contact with the group's external environment.
- ❖ The laissez-faire leader has little or no self-confidence in his/her leadership ability, sets and goals for the group and minimizes communication and group interaction.

Qualities of an Effective Leader

Some authorities in the field point out that an effective leader is required to possess the following basic qualities.

- a) **Ability to understand human behavior.** A leader should be able to understand employees' needs and problems so as to make them work with willingness and enthusiasm.
- b) **Social skill.** An effective leader should and know the strengths and weaknesses of people working with him/her. If he/she is helpful friendly, encourages other to succeed, and appreciates the group members' viewpoints, people will certainly cooperate with him/her and work their / oral best towards the achievement of the organizational goals.
- c) **Teaching ability (being model).** The best way to lead is guiding practically. A leader should not be in a position to push his subordinates from behind.
- d) **Readiness to accept responsibility / criticisms and to take appropriate corrective measures** – An effective leader or manager should understand that error is human but repeat is a mistake. What so over a leader tries to be

systematic, mistakes are created but he should be able to take remedial measures and take control over the situation.

- e) **Emotional stability and fairness** - The effective leader poses resolutions indiscriminately after gathering sufficient information and investigating the possible causes. Moreover, he is relatively free from bias and prejudice and takes consistent actions.